

shortened settlement cycles, both of which were critical for upgrading the clearing and settlement system.

Another major market reform undertaken by SEBI in 1996 was getting stock exchanges to set up clearing corporations and trade guarantee funds. With this, investors no longer had to worry about counterparty risk. The clearing corporation would ensure pay-out even when a party to a deal defaulted on an obligation, and would later recover the dues from the defaulter.

Trading volumes continued to soar because of the ease with which shares could now be bought and sold. On the flip side, retail investors increasingly started speculating instead of buying and holding shares for the long term as they used to earlier. They would buy and sell within the weekly settlement, happy to make a small profit. Of course, they would lose money as well. Speculation was addictive, and even though most retail investors rarely made consistent profits, the memory of their winning trades would raise hopes of bigger gains and keep them going.

As a result, the percentage of shares that resulted in delivery or actually changed hands fell steeply. To deter overtrading, SEBI introduced daily margins and fixed intra-day trading limits for brokers. There were limits to the positions brokers could take in individual stocks. This was done to make it difficult for any one broker to manipulate an illiquid stock.

Despite having made it mandatory for brokers to collect margins from clients, the authorities rarely enforced this rule. Brokers knew that if they insisted on margins their clients would shift business to rivals willing to overlook margin requirements. Many brokers had suffered huge losses in 1992 because of client defaults. Yet, the fear of losing clients would see brokers repeating the mistake and suffering the consequences when the market crashed in 2001, and later, in 2008.

With computerization, it became easier for stock exchanges to monitor brokers' positions and pull up members who were stepping out of line. The broking community chafed at some of these restrictions, but there was little they could do. The Indian market had no choice but to adopt global best practices if it wanted to be counted among the best international markets. And the government steadily empowered SEBI to ensure safety and integrity in the marketplace, increasing India's appeal to global investors.

SEBI tightened the rules for the primary market too, alarmed at the ease with which dubious companies raised money and then duped investors. This